



PowerPoint Presentation by
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MANAGEMENT ACCOUNTING

8th EDITION

BY

HANSEN & MOWEN

18 INTERNATIONAL ISSUES IN MANAGEMENT ACCOUNTING

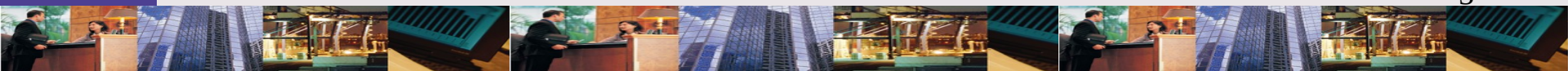
LEARNING OBJECTIVES

After studying this chapter, you should be able to:

LEARNING OBJECTIVES

1. Explain the role of the management accountant in the international environment.
2. Identify the varying levels of involvement that firms can undertake in international trade.
3. List the ways management accountants can manage foreign currency risk.
4. Explain why multinational firms choose to decentralize.

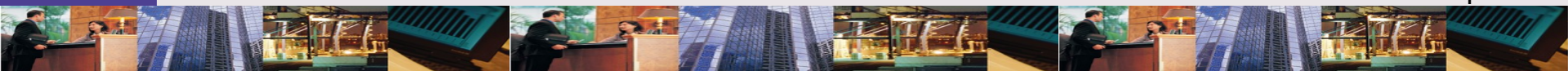
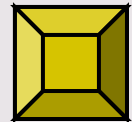
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LEARNING OBJECTIVES

5. Describe how environmental factors can affect performance evaluation in the multinational firm.
6. Discuss the role of transfer pricing in the multinational firm.
7. Discuss ethical issues that affect firms operating in the international environment.

*Click the button to skip
Questions to Think About*



QUESTIONS TO THINK ABOUT: Milbourne Shutter Company

What are the business issues to consider in deciding whether to trade overseas?

QUESTIONS TO THINK ABOUT: Milbourne Shutter Company

If exchange rates can either increase or decrease, are the risks equal? Would Jeff be more concerned about one or the other? Why or why not?

QUESTIONS TO THINK ABOUT: Milbourne Shutter Company

When considering each international order on a case-by-case basis, what might influence his decisions?

QUESTIONS TO THINK ABOUT: Milbourne Shutter Company

Are there differences in considerations for shipping internationally & shipping to another state? Or trade with France versus trade with Russia or Iran?

LEARNING OBJECTIVE

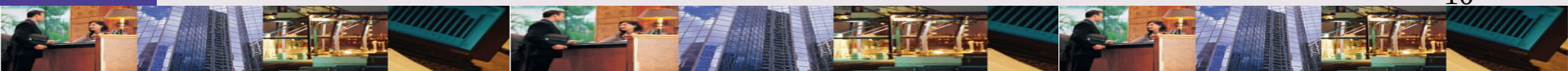
1

Explain the role of the management accountant in the international environment.

MANAGEMENT ACCOUNTING

In an international environment requires a shift in perspective. There are:

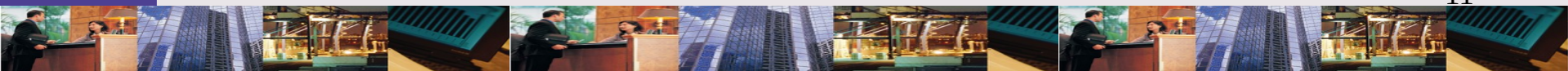
- ✧ Implications of foreign currency exchange
- ✧ Differences in credit practices
- ✧ Differences in cultural, legal, political, and economic environments



LEARNING OBJECTIVE

2

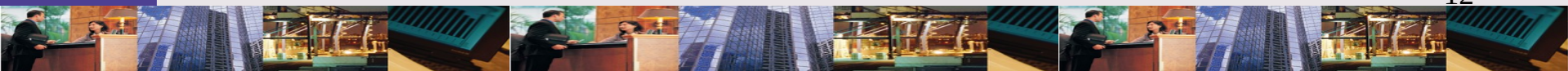
Identify the varying levels of involvement that firms can undertake in international trade.



MULTINATIONAL CORPORATION (MNC)

MNC “does business in more than one country in such a volume that its well-being & growth rest in more than one country.”¹

¹Hansen & Mowen, 2007, p. 808.



INTERNATIONAL TRADE

✧ Levels of involvement

✧ Importing & exporting

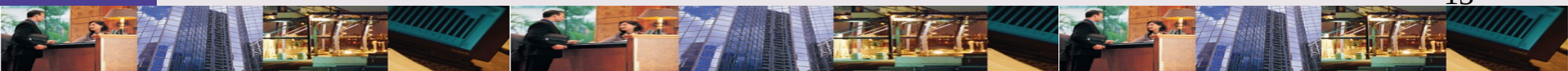
✧ Concern:

✧ Tariffs & foreign trade zones

✧ Treaties

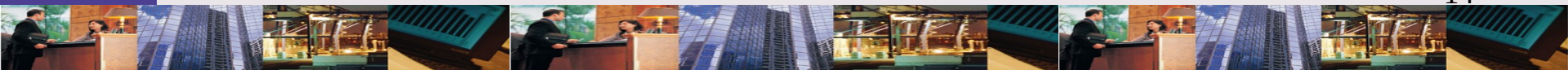
✧ Wholly owned subsidiaries

✧ Joint ventures



TARRIFF: Definition

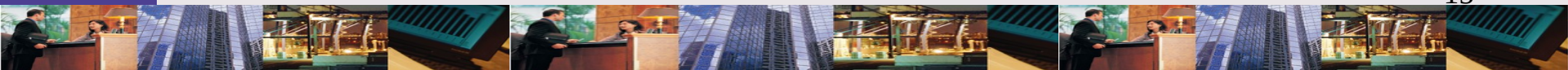
Is a tax on imported or
exported goods.



FOREIGN TRADE ZONES

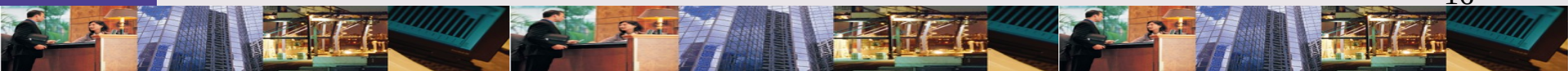
Are set up by government in US near ports of entry but considered outside US commerce.

- ✴ Goods imported into foreign trade zones are duty free
- ✴ Company can postpone payments of duty
- ✴ No duty on defective materials
- ✴ Imported goods can be modified to meet US regulations
- ✴ High tariff components can be assembled into lower-tariff finished products



ROADRUNNER VS. WILYCOYOTE.: Background

Roadrunner operates a petrochemical plant that imports volatile materials in a foreign trade zone while a rival, Wilycoyote, operates a similar plant just outside the foreign trade zone. The two companies pay duty on imports differently.



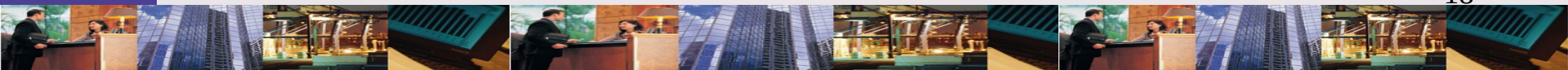
DUTY ANALYSIS

	Roadrunner	Wilycoyote
Duty paid at purchase	\$ 0	\$ 24,000
Carrying costs of duty	0	1,920
Duty paid at sale	<u>16,800</u>	<u>0</u>
Total duty, duty-related costs	<u>\$ 16,800</u>	<u>\$ 25,920</u>

Duty paid on sale by Roadrunner is **significantly lower** than duties paid by Wilycoyote on import.

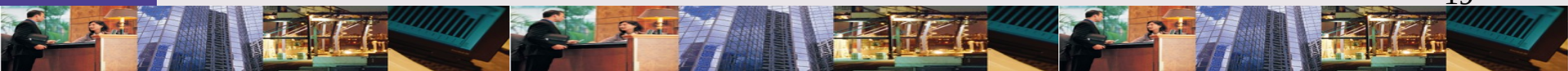
TARIFFS & TREATIES

Can be managed by treaties among countries. NAFTA allows reduced tariffs on goods imported among Canada, US, and Mexico.



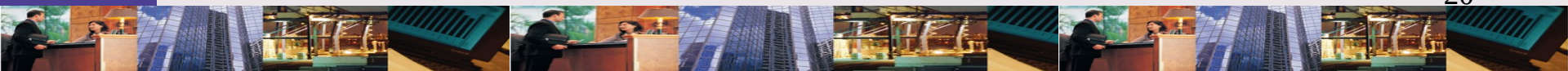
WHOLLY OWNED SUBSIDIARIES

Can be purchased companies or
companies set up as subsidiaries or
branch offices in foreign companies.



OUTSOURCING: Definition

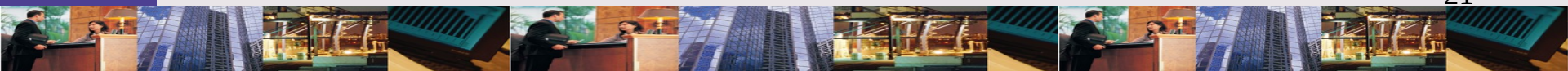
Is payment by a company for business functions formerly done in-house.



JOINT VENTURE: Definition

Is a type of partnership in which investors co-own the enterprise.

A special example is a **maquiladora**, a manufacturing plant in Mexico.



LEARNING OBJECTIVE

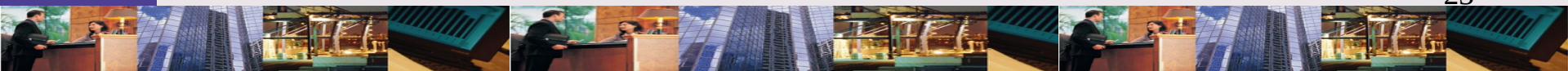
3

List the ways management accountants can manage foreign currency risk.

FOREIGN CURRENCY RISK:

Definition

Refers to the company's management of its transaction, economic, & translation risks due to exchange rate fluctuations.



MANAGING CURRENCY RISK

✧ Transaction risk

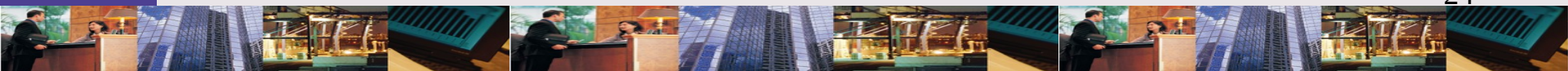
- ✧ Possibility that future cash transactions will be affected by exchange rate fluctuations

✧ Economic risk

- ✧ Possibility that a firm's present value of future cash flows will be affected by exchange rate fluctuations

✧ Translation (accounting) risk

- ✧ Degree to which firm's financial statements are exposed to exchange rate fluctuations



SPOT RATES

Exchange rate on spot market for US dollars.

Country (Currency Name)	US dollar equivalent	Currency per US dollar
Argentina (Peso)	0.3269	3.059
Australia (Dollar)	0.7377	1.3556
U.K. (Pound)	1.7792	0.5621
Canada (Dollar)	0.8773	1.1399
China (Renminbi)	0.124789	8.0135
Hong Kong (Dollar)	0.128955	7.7546
India (Rupee)	0.02221	45.0248
Indonesia (Rupiah)	0.000113	8880.995
Israel (Shekel)	0.2192	4.562
Japan (Yen)	0.008507	117.5503
Mexico (Peso)	0.09064	11.0327
New Zealand (Dollar)	0.6266	1.5959
Peru (New Sol)	0.3017	3.3146
Philippines (Peso)	0.01942	51.4933
Russia (Ruble)	0.03639	27.4801
Saudi Arabia (Riyal)	0.2666	3.7509
Singapore (Dollar)	0.6256	1.5985
South Korea (Won)	0.001054	948.5866
Sweden (Krona)	0.1327	7.5358
Switzerland (Franc)	0.7826	1.2778
Taiwan (Dollar)	0.03096	32.2997
Thailand (Baht)	0.02647	37.7786
U.K. (Pound)	1.7792	0.5621
Euro**	1.2323	0.8115

*Taken from the *Wall Street Journal*, April 20, 2006, http://online.wsj.com/page/mdc/2_0500-forextab-12.html?mod=2_0032

**The following countries use the Euro: Andorra, Austria, Belgium, Finland, France, Germany, Greece, Ireland, Italy, Kosovo, Luxembourg, Monaco, Montenegro, Netherlands, Portugal, San Marino, Spain, and Vatican City.

EXHIBIT 18-1

Exhibit 18-1 Spot Rates as of April 20, 2006*

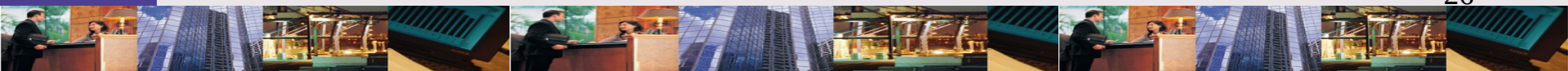
MANAGING TRANSACTION RISK

Companies face risk of currency appreciation (depreciation). They can manage the effects of fluctuating exchange rates on cash transactions by using

- ✧ Spot (immediate) rate

- ✧ Hedging

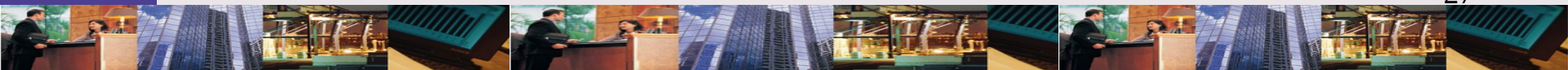
 - ✧ Forward exchange contract for specified amount at specified rate on specified future date.



TRANSACTION GAINS, LOSSES:

Background

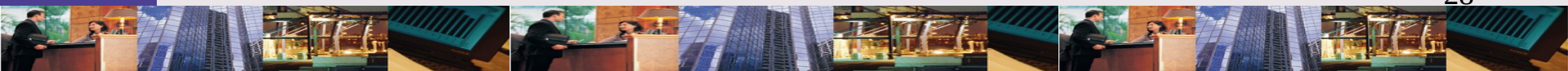
SuperTubs, Inc. sells whirlpool tubs at home and in foreign markets. SuperTubs sold 100 tubs on 1/15 for \$1,000 each to be paid 3/15. The exchange rate on 1/15 is .82 euros per \$1. What is the gain/loss on 3/15 if the exchange rate is .84 euros on 3/15? If the exchange rate is .80 euros?



EXCHANGE RATE LOSS

Receivable in dollars 1/15	\$ 100,000
Receivable in dollars 3/15	<u>97,619</u>
Exchange loss	<u>\$ 2,381</u>

The exchange rate rose from .82 euros to **.84** euros per \$1, providing an exchange **loss**.



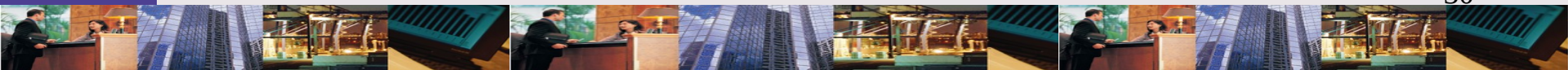
EXCHANGE RATE GAIN

Receivable in dollars 1/15	\$ 100,000
Receivable in dollars 3/15	<u>102,500</u>
Exchange gain	<u>\$ 2,500</u>

The exchange rate dropped from .82 euros to **.80** euros per \$1, providing an exchange **gain**.

HEDGING CURRENCY FLUCTUATIONS: Background

SuperTubs, Inc. engages in hedging to offset a possible loss on exchange rate fluctuations. On 1/15, SuperTubs purchased a contract to exchange 82,000 euros into dollars at a forward rate of .825 euros. On 3/15, SuperTubs pays 82,000 euros to the dealer and receives \$99,394.



HEDGING

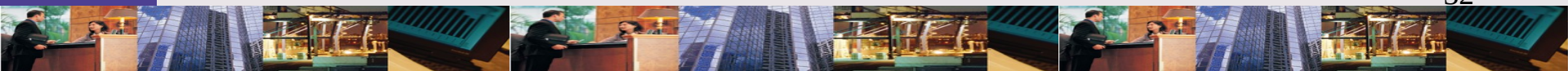
Receivable in dollars 1/15	\$ 100,000
Receivable in dollars 3/15	<u>99,394</u>
Premium expense	<u>\$ 606</u>

The cost of hedging against currency fluctuations is **less** than the loss from doing nothing.

MANAGING ECONOMIC RISK

Companies must manage risk to the present value of future cash flows due to exchange rate fluctuations. The management accountant must:

- ✧ Understand the company's position in a global economy
- ✧ Provide financial structure and communication for the firm
- ✧ Encourage use of hedging

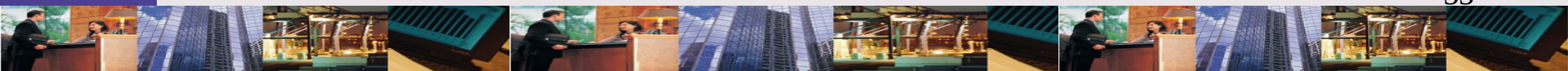


MANAGING TRANSLATION RISK

Companies must manage risk presented when the effects of financial transactions are not the same in different currencies.

Multinational, Inc., has a foreign division (FD) with eroding sales. Management directs FD to increase marketing expenditures, which FD does by increasing the expenditures by 10% per quarter.

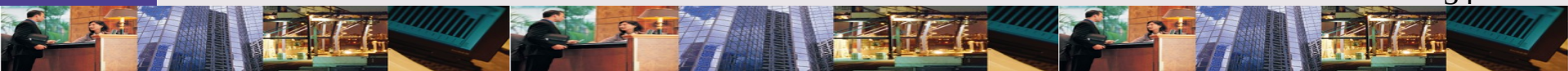
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MARKETING EXPENDITURES

Quarter	Expenditures in Local Currency
1	LC 10,000
2	LC 11,000
3	LC 12,100
4	LC 13,310

Expenditures in local currency were **increased by 10%** per quarter over the year.



MARKETING EXPENDITURES

Quarter	Expenditures in Dollars
1	\$ 10,000
2	9,167
3	8,963
4	8,873

Expenditures in dollars were **decreasing** each quarter over the year, a fact hidden in currency translation.

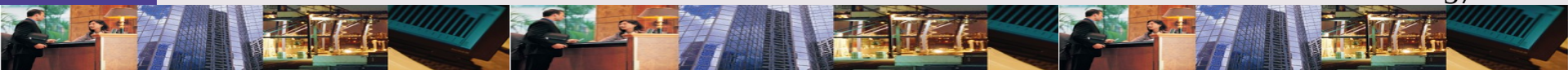
LEARNING OBJECTIVE

4

Explain why multinational firms choose to decentralize.

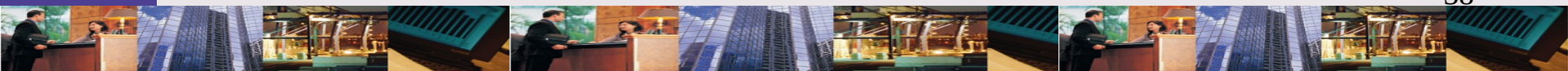
ADVANTAGES OF DECENTRALIZATION

- ✳ Local level information is higher quality
- ✳ Local managers can make a more timely response in decision making
- ✳ Less likely to misinterpret instructions at local level due to language differences



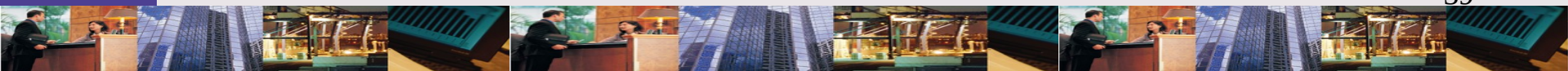
How do MNCs address language differences?

MNCs 1) push decision making down to local manager, and 2) incorporate technology that overrides language barriers.



How do MNCs address decentralization?

MNCs create different divisions by 1) geographic lines, 2) product lines, and 3) functional management lines.



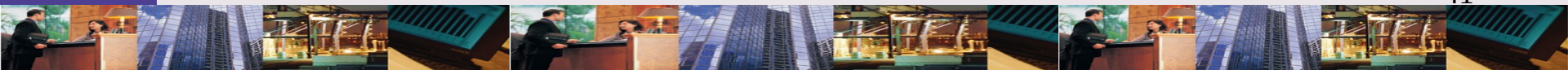
LEARNING OBJECTIVE

5

Describe how environmental factors can affect performance evaluation in the multinational firm.

EVALUATING PERFORMANCE

Managers should be evaluated only on those factors that the manager has control over. Evaluations based on revenues or costs are not affected by currency fluctuations. Comparative evaluations are difficult because of cultural differences between countries.



ENVIRONMENTAL FACTORS

Many environmental factors affect performance.

- Economic factors:
 - Organization of central banking system
 - Economic stability
 - Existence of capital markets
 - Currency restrictions
- Political and legal factors:
 - Quality, efficiency, and effectiveness of legal structure
 - Effect of defense policy
 - Impact of foreign policy
 - Level of political unrest
 - Degree of governmental control of business
- Educational factors:
 - Literacy rate
 - Extent and degree of formal education and training systems
 - Extent and degree of technical training
 - Extent and quality of management development programs
- Sociological factors:
 - Social attitude toward industry and business
 - Cultural attitude toward authority and persons in subordinate positions
 - Cultural attitude toward productivity and achievement (work ethic)
 - Social attitude toward material gain
 - Cultural and racial diversity

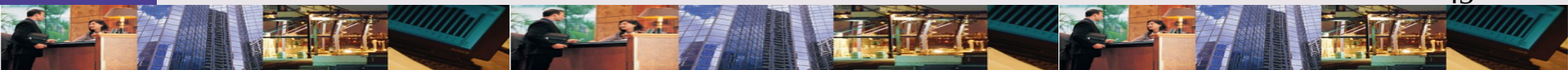
Source: Adapted from Wagdy M. Abdallah, "Change the Environment or Change the System," *Management Accounting* (October 1986): pp. 33–36. Used with the permission of the Institute of Management Accountants.

Exhibit 18-2 Environmental Factors Affecting Performance Evaluation in the Multinational Firm

EXHIBIT 18-2

What measures are best for performance evaluation in an international setting?

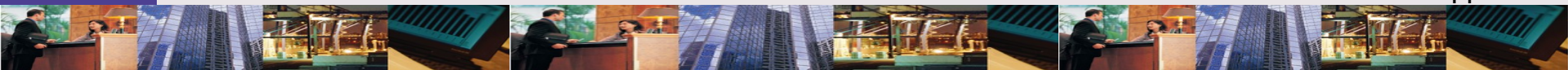
Multiple measures are the best approach. Include **EVA (economic value added) or **ROI** for short term measures.**



OTHER PERFORMANCE MEASURES

To discourage myopic behavior from relying on short term performance measures, include

- ✧ Market share
- ✧ Customer complaints
- ✧ Personnel turnover ratios
- ✧ Personnel development



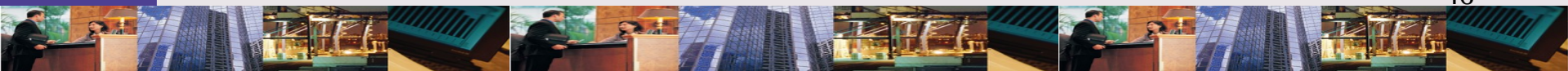
LEARNING OBJECTIVE

6

Discuss the role of transfer pricing in the multinational firm.

How can transfer pricing
affect the taxes a company
pays?

Transfer pricing can **shift
revenues and costs** between
high & low tax countries.



USING TRANSFER PRICING

Carefully crafted transfer pricing can reduce corporate taxes.

Action	Tax Impact
Belgian subsidiary of parent company produces a component at a cost of \$100 per unit. Title to the component is transferred to a re invoicing center* in Puerto Rico at a transfer price of \$100 per unit.	42% tax rate $\$100 \text{ revenue} - \$100 \text{ cost} = \$0$ Taxes paid = \$0
Reinvoicing center in Puerto Rico, also a subsidiary of parent company, transfers title of component to U.S. subsidiary of parent company at a transfer price of \$200 per unit.	0% tax rate $\$200 \text{ revenue} - \$100 \text{ cost} = \$100$ Taxes paid = \$0
U.S. subsidiary sells component to external company at \$200 each.	35% tax rate $\$200 \text{ revenue} - \$200 \text{ cost} = \$0$ Taxes paid = \$0

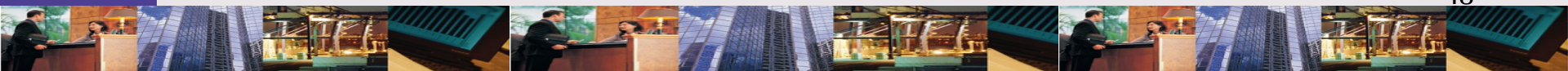
*A re invoicing center takes title to the goods but does not physically receive them. The primary objective of a re invoicing center is to shift profits to divisions in low-tax countries.

Exhibit 18-3 Use of Transfer Pricing to Affect Taxes Paid

EXHIBIT 18-3

What methods can be used for transfer pricing?

Transfer pricing methods include 1) comparable uncontrolled price, 2) resale price, and 3) cost-plus price.



LEARNING OBJECTIVE

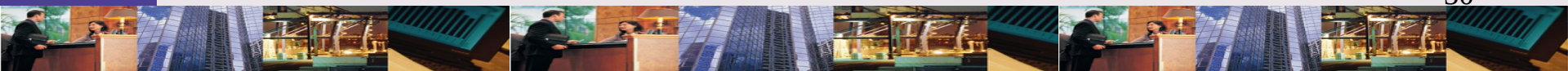
7

Discuss ethical issues that affect firms operating in the international environment.

GLOBAL ETHICS: Richard J. Mahoney, CEO Monsanto

“ . . . we continually face the problem of different cultures & different cultural expectations. A service fee in 1 country is a bribe in another. Environmental laws can be extraordinarily strict in a country but not enforced-& your neighbors laugh at you for obeying the laws. ”²

²Hansen & Mowen, 2007, p. 826



CHAPTER 18

THE END